Investment Governance Policy: Model Portfolios

Approved by the Investment Committee. Amended with effect from 1 July 2026.

1. Purpose

This policy sets the limits that apply to the firm's three model portfolios and how compliance with them is measured. The Investment Committee reviews compliance at each quarter end.

2. Measurement

2.1 Asset-class exposures are measured on a look-through basis: each holding's weight in the portfolio is multiplied by the underlying fund's exposure to the asset class, using the fund's look-through data at the period end, and the results are summed across holdings.

2.2 Single-holding weights are measured directly: the holding's market value divided by the portfolio's total market value.

2.3 Limits are tested at each quarter end against the version of this policy in force on that date.

2.4 Where a limit is exceeded, the Investment Manager reports it to the Committee with a remediation plan.

3. Cautious portfolio

Objective: capital preservation with modest real growth.

3.1 Equity exposure must not exceed 35%.

3.2 No single holding may exceed 25% of the portfolio.

3.3 Cash exposure must not exceed 10%.

4. Balanced portfolio

Objective: long-term growth with moderate volatility.

4.1 Equity exposure must be at least 40% and no more than 65%.

4.2 No single holding may exceed 20% of the portfolio (25% until 30 June 2026).

4.3 Cash exposure must not exceed 10%.

5. Growth portfolio

Objective: long-term capital growth.

5.1 Equity exposure must be at least 60% and no more than 90%.

5.2 No single holding may exceed 30% of the portfolio.

5.3 Cash exposure must not exceed 10%.

6. Performance monitoring

6.1 Each portfolio's quarterly return should be within 1.5 percentage points of its benchmark's quarterly return. A larger difference is reported to the Committee with an explanation.

7. Amendments

- 1 July 2026: the single-holding limit for the Balanced portfolio was reduced from 25% to 20% (section 4.2).